TOPIC ⑦ · RECORDED LECTURE (BRANDING, PART 2)

How to Measure a Brand: 3 Ways and 2 Opposite Models

PLAIN ENGLISH

If a brand is valuable, how do you prove it? Kahn showed **three ways**: look inside customers' heads, use a consulting firm's scorecard (BAV), or put a dollar value on it like a financial asset (Interbrand). Each rests on a different belief about what makes a brand strong.

① Customer-based: what's in the customer's head 🎤 CLASS

Stage	Question	How it's measured (from class)
Awareness	Have you heard of me?	**Recognition** (spot it on a shelf), **recall** (name brands in a category, aided or unaided), **top-of-mind** (the first brand you think of), **latency** (how fast it comes to mind)
Associations	What do you know about me?	Asking directly "doesn't work that well," so use **conjoint** (infer from choices)
Attitudes / emotion	How do you feel?	**Neuromarketing**: facial recognition, arousal, eye tracking
Attachment / loyalty	Are you loyal?	Purchase history, conversion

CONJOINT, SIMPLY

People are "really bad" at saying how important brand or price is. So show them product bundles where brand, price, and features vary, watch which they **choose**, and "back out" the weights. The brand's weight = its value.

PRICE PREMIUM, SIMPLY

> “How much would you pay for this T-shirt?” vs the same shirt with a brand logo. **The difference = the brand's value.** Experienced clothing people “can do it in their head.”

② BAV (Young & Rubicam BrandAsset Valuator) 🎤 CLASS 📊 SLIDES

Energized Differentiation

unique? → margins

Relevance

for me? → trial

Esteem

respected? → loyalty

Knowledge

well known? → saliency

Brand Strength = Differentiation + Relevance (future potential). **Brand Stature** = Esteem + Knowledge (current standing). These are tracked over time and tied to financial results.

⚡ The key insight from class: the two models are OPPOSITES



	Awareness first (customer-based)	Passion first (BAV)
Belief	“As long as you've heard of me…” / “All publicity is good publicity”: familiar brands get bought	Strength comes from **energized differentiation**; start small and passionate, then grow

Example	Coca-Cola, Budweiser; mass CPG (the **double-jeopardy effect**: big penetration → more frequency)	**Lululemon**: wealthy yoga women in Canada (stylish enough for lunch after yoga) → US → men → new categories
✔	Works for big "average" categories; you have scale	**Cost-efficient** and "more modern": fragmented media makes broad awareness hard; scale with digital
✘	Awareness without differentiation = **stuck in the middle** (TV Guide: "people heard of it but it doesn't mean anything"); no attachment, so no loyalty	May not **scale**: word of mouth might not spread to other segments; network-effect markets favor whoever gets big first

③ Interbrand: the brand as a financial asset 🎤 CLASS

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Brand value = profits from intangibles × % due to the brand  → forecast 5–10 yrs → discount at a rate set by BRAND STRENGTH → + terminal value
Strong, stable brand (Coke) → low discount rate → HIGH value   ·   Trendy brand → high discount rate → low value
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Two "secret sauce" numbers: ① what % of intangible earnings is due to the brand (perfume ~95%, utilities ~0%; Kahn notes pharma used to be ~10% but changed with COVID vaccine brand choice) ② the discount rate, from a 10-factor brand-strength score (risk-free rate ~5%). "Tiny changes in your discount factor compound." The **same discounting logic** is used in CLV and in the simulation's market value.

Why use it? Brand equity **isn't on the balance sheet**, so it helps the CMO **justify marketing to the CFO**. Also used for **acquisitions**, **lawsuits** (Kahn was an expert witness showing brand value fell after an event), and monitoring. Only for **public, profitable** firms (non-profits need another metric). Most useful **within your industry**; the Top 100 list is "a PR mechanism." Coke $68B (#1 until 2013) → Apple; Tesla −35%; Nvidia the biggest gain ever.

Practice: multiple choice (9), with answers

MC 1 [SAID IN CLASS]

How do the customer-based model and the BAV model differ in how strong brands are built?

- **✔ CORRECT: Customer-based builds broad awareness first; BAV builds passion in a niche first, then awareness**
- They are the same model
- BAV starts with Super Bowl ads
- Customer-based ignores awareness

EXPLANATION

Kahn: 'It's the exact opposite model. One says build big and then get the passion. The other says build on the passion and then build awareness.'

MC 2 [SAID IN CLASS]

Lululemon's growth (wealthy yoga women in Canada → US → men → new categories) illustrates:

- **✔ CORRECT: The BAV passion-first model**
- The awareness-first CPG model
- A house of brands
- Penetration pricing

EXPLANATION

Start with a small group that loves you, then expand.

MC 3 [SAID IN CLASS]

Which is a way to measure brand AWARENESS?

- **✔ CORRECT: Recognition, aided/unaided recall, top-of-mind, response speed**
- Conjoint part-worths
- Facial-expression tracking
- Discount rates

EXPLANATION

Associations → conjoint. Emotions → neuromarketing (faces, eye tracking). Loyalty → purchase history.

MC 4 [SAID IN CLASS]

Why use conjoint analysis instead of simply asking people how important the brand is?

- **✔ CORRECT: People are bad at stating importance; their choices among bundles reveal the true weights**
- Conjoint is cheaper than any survey
- It measures awareness
- It is required by law

EXPLANATION

Vary brand, price, and features across options, see what people pick, and 'back out' what they care about.

MC 5 [SAID IN CLASS]

The simplest way to measure a brand's value in class was:

- **✔ CORRECT: The price premium: how much more people pay for the branded version of an identical product**
- Counting social-media followers
- Its number of stores
- Its advertising budget

EXPLANATION

Plain T-shirt vs the same shirt with a logo: the difference is the brand's value.

MC 6 [SAID IN CLASS]

In Interbrand's method, a strong, stable brand like Coca-Cola gets:

- **✔ CORRECT: A LOW discount rate, so a HIGHER brand value**
- A high discount rate
- No discount at all
- A value equal to its revenue

EXPLANATION

Less risk means future brand earnings are shrunk less. A trendy brand gets a big discount.

MC 7 [SAID IN CLASS]

Why did Kahn say brand valuation (Interbrand) matters to a CMO?

- **✔ CORRECT: Brand equity isn't on the balance sheet; a dollar value helps justify marketing spending to the CFO**
- It sets retail prices
- It replaces market research
- It's required for all non-profits

EXPLANATION

Also used in acquisitions, lawsuits (showing damage to a brand), and tracking brand health.

MC 8 [SAID IN CLASS]

Interbrand-style valuation is hard to use for non-profits like Wharton or the Red Cross because:

- **✔ CORRECT: It's based on profits, so you'd need a substitute metric (donations, applications)**
- Non-profits have no brand
- It's illegal
- They have no customers

EXPLANATION

The method starts from earnings; non-profits must find another measure of brand value.

MC 9 [SLIDES]

In BAV, 'Brand Strength' = ____ and 'Brand Stature' = ____.

- **✔ CORRECT: Differentiation + Relevance; Esteem + Knowledge**
- Esteem + Knowledge; Differentiation + Relevance
- Awareness + Loyalty; Price + Quality
- Revenue + Profit; Assets + Debt

EXPLANATION

Strength = future potential (unique and relevant). Stature = current standing (respected and known).

Practice: short answers (3), with model answers

SHORT ANSWER 1 (9 points)

Compare the 'awareness-first' and 'passion-first' models of building a brand. What are the risks of each?

What a full-credit answer covers

- Awareness-first: hierarchy of effects; big ads (Coke, Bud); 'all publicity is good publicity'
- Passion-first (BAV): niche energized differentiation then stature (Lululemon)
- Risk of awareness-first: no differentiation → stuck in middle, no loyalty (TV Guide)
- Risk of passion-first: may not scale; WOM may not spread; network effects
- When each fits (mass categories / double jeopardy vs niche; fragmented media)

MODEL ANSWER

The customer-based (hierarchy-of-effects) model builds broad awareness first, then associations, attitudes, and loyalty. That's how Coke and Budweiser were built with mass advertising, and it still suits mass categories where big penetration drives frequency (double jeopardy). Its risk is awareness without energized differentiation: a brand everyone knows but that means nothing (TV Guide) is stuck in the middle and earns no loyalty. The BAV model reverses the order: build passion and relevance in a small niche, then grow stature. Lululemon started with affluent yoga women in Canada and expanded. It's cost-efficient and more realistic in fragmented media, but the risk is that the passion doesn't spread beyond the niche, and in network-effect markets a bigger rival can win first. Choose based on the category (mass vs niche), budget, and media environment.

SHORT ANSWER 2 (9 points)

How should a company measure the value of its brand? Compare customer-based measures, BAV, and Interbrand.

What a full-credit answer covers

- Customer-based: awareness (recall/recognition), associations (conjoint), emotion (neuromarketing), loyalty; price premium
- BAV: four pillars; strength vs stature; tied to financial outcomes
- Interbrand: intangible earnings × brand share, discounted by brand-strength risk; terminal value
- Different purposes: diagnose/manage vs dollar value (CFO, M&A, litigation)
- Use multiple methods; limits (public/profit firms only, within-industry)

MODEL ANSWER

Use several lenses. Customer-based measures look inside customers' heads, stage by stage: awareness (recognition, recall, top-of-mind), associations (better inferred through conjoint than asked directly), emotions (neuromarketing such as facial coding and eye tracking), and loyalty (purchase history). The simplest single number is the price premium over an unbranded equivalent. BAV scores brands on Differentiation, Relevance, Esteem, and Knowledge across huge samples and ties them to financial results. Strength vs stature shows a brand's future potential vs current standing. Interbrand puts a dollar value on the brand: profits from intangibles × the share due to the brand, discounted at a rate set by brand strength (strong brands are discounted less), plus a terminal value. Use the first two to diagnose and manage the brand, and Interbrand to justify marketing to the CFO and in acquisitions or lawsuits.

SHORT ANSWER 3 (9 points)

Why does the discount rate matter so much in Interbrand's brand valuation, and where else in the course does the same logic appear?

What a full-credit answer covers

- Future branded earnings are discounted back to today
- Discount rate set by brand strength (risk); strong = low rate = higher value
- Small changes compound into big valuation differences
- Same logic in CLV (discounting customer profits)
- Same logic in the simulation's market value (WACC)

MODEL ANSWER

Interbrand forecasts a brand's future earnings and discounts them back to today, so the discount rate decides how much those future earnings count. The rate comes from a brand-strength score. A strong, stable brand like Coke is expected to last, so it gets a low rate and a high value; a trendy brand gets a high rate. Kahn stressed that 'tiny changes in your discount factor compound,' so the rate matters a lot. The same discounted-cash-flow logic appears in CLV, where customer profits are discounted, and in the simulation, where market value is free cash flow discounted at WACC. More debt raises WACC and lowers value.